Limits to Arbitrage in the Indian Equity Market

Bachelor's Thesis (EC 495 and EC 497)

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Abstract

In theory, a share and a future on that share should be priced consistently, and arbitrage should close any gap. In practice costs, short-sale constraints, limited capital and position limits allow gaps to persist. I study how strongly these limits bind in Indian equities, where most of them change on known dates. A model of constrained arbitrage, in which India's F&O ban is a rule that lets every participant only reduce positions, gives predictions and the results that would contradict them; the tests were written down and frozen before any outcome was related to any treatment. The data are built from public exchange files for 2015 to 2026. Bans bind hard on trading: futures volume falls by about two log points, and when the rule is enforced on intraday positions every futures trade closes positions. Correction of the futures-cash basis does not become one-sided in the way the model predicts: rich futures revert faster in a ban, mostly at the start of a spell. The basis falls by about six basis points when a ban begins, more when open interest was building fast, and there is no bunching of utilisation below the trigger. The basis follows a wide, asymmetric band of about -35 to $+24$ basis points around each stock's median, and the full cost of a new cash-and-carry position lies in its outer tail. Entry into the F&O segment speeds up the response of prices to market news but does not weaken drift after bad news. A constraint index built only from frictions predicts slower price adjustment and larger drift after bad, but not good, news across the whole market.

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Chapter 1

Introduction

1.1 The question

When two ways of holding the same risk trade at different prices, an arbitrageur can buy the cheap one, sell the dear one and wait for the prices to meet. If arbitrage were free and unlimited, such gaps would never be large or long-lived. Shleifer and Vishny (1997) and Gromb and Vayanos (2010) explain why it is neither: arbitrage needs capital, it carries risk while the gap persists, it costs money to trade, and it often needs a short position that may be costly or not allowed. Each of these limits lets prices drift away from each other.

This thesis asks how strongly these limits bind in the Indian equity market, which of them matter, and how much mispricing they explain. India is a good place to ask. Almost every limit changes on known dates: the securities transaction tax (STT) on futures was raised three times between 2023 and 2026; only stocks in the futures and options (F&O) segment can be sold short or shorted through stock futures, and stocks enter and leave that segment every few months; the assets of arbitrage mutual funds grew several times after a change in the taxation of debt funds in 2023; and position limits are set by formula and were changed in October 2025.

India also has an unusual rule. When market-wide open interest in a stock's derivatives exceeds 95% of its market-wide position limit (MWPL), the stock enters an *F&O ban*: every participant, not only arbitrageurs, may only trade to reduce positions until open interest falls to 80%. Between 2015 and October 2026 this happened 1,788 times to 141 stocks. To my knowledge no study has estimated its effects. The ban is the sharpest lens on one limit, but it is one lens among several; the thesis studies the limits side by side.

1.2 Approach

The work followed a fixed order, designed to prevent fitting the theory and the data to each other.

1. *Theory first.* One model covers all the limits; each enters as a parameter. The ban is modelled as the rule actually works. Every hypothesis is derived from the model with the result that would contradict it (Chapter 3).

2. *A frozen test plan.* Samples, variables, specifications and falsifiers were written down and

frozen with a time-stamped record before any outcome was related to any treatment. Every detail the plan left open was fixed in a dated log before the test that needed it was run (Appendix A).

3. *Data from primary sources.* All data come from public exchange archives and are built with scripts that check every step against the exchange's own rules (Chapter 4).
4. *Estimators tested on simulated data* from the model before use.
5. *All results reported,* including those that contradict the model.

1.3 Main findings

1. **Bans bind on trading.** In a ban, futures trading falls by about two log points and the delivery share of cash trading rises. When the rule was enforced on peak intraday positions (March 2020 to September 2025), the change in open interest equals minus the volume: every futures trade closed a long and a short. Under end-of-day enforcement before March 2020 this identity did not hold.
2. **Correction is not one-sided as predicted.** The model predicts that rich futures stop being corrected in a ban because nobody may open new cash-and-carry positions. The data show the opposite: rich futures revert faster in a ban, and cheap futures more slowly. The effect is concentrated in the first days of a spell and survives a correction for noise in daily prices.
3. **The basis falls when a ban starts.** Against stocks that came close to the trigger but did not cross it, the basis is about 6 basis points (bp) lower in the first days of a ban, more when open interest had been building fast, and it returns to its earlier level after about a week. Utilisation does not bunch below the trigger, and as utilisation rises the basis is more often rich.
4. **Costs, capital and the band.** The basis follows a wide, asymmetric band, about -35 to $+24$ bp around each stock's median. The upper part of the distribution rose around the 2024 and 2026 STT increases, but by more than the cost changes and mostly as a common shift. A new cash-and-carry round trip costs 27 to 31 bp, which places it in the outer tail of the basis; rolling an existing position costs 4 to 8 bp. Inflows into arbitrage funds are followed by a lower upper tail, but the evidence is weak.
5. **Short-sale access and the cross-section.** After a stock enters the F&O segment its price responds faster to market-wide news; drift after bad news does not weaken. A constraint index built only from frictions, for every listed stock, predicts slower price adjustment and larger drift after bad, but not good, news.

1.4 Contribution

The thesis studies the F&O ban for the first time; models it as a reduce-only rule for every participant and shows that this makes correction one-sided in theory and the level effect

ambiguous in sign; shows that changes in the position limit cannot serve as an instrument for ban status; estimates the no-arbitrage band of Indian stock futures over a long daily sample with threshold and smooth-transition models; and publishes a constraint index for all Indian stocks. The closest earlier work on Indian stock futures estimates bands from intraday data over short samples without the ban (Aggarwal, 2015; Shankar, Sankar and Kiran Kumar, 2019); Saurav, Srivastava and Agarwalla (2026) study the basis around earnings announcements and short-sale constraints.

1.5 Outline

Chapter 2 describes the Indian rules. Chapter 3 presents the model. Chapter 4 describes the data, the measures and the constraint index. Chapter 5 estimates the band and relates it to costs, capital and position limits. Chapter 6 studies the ban. Chapter 7 studies entry into and exit from the F&O segment and the cross-section of stocks. Chapter 8 concludes and discusses policy.

Chapter 2

Institutional setting

2.1 Short selling and securities lending

Under SEBI's short-selling framework (restated in a circular of 5 January 2024, in line with the 2007 framework), all classes of investors may sell short, but naked short selling is prohibited: every short sale must be delivered at settlement. Institutional investors may not day trade. Securities traded in the F&O segment are eligible for short selling. An overnight short in the cash market therefore needs borrowed stock, which comes from the securities lending and borrowing (SLB) segment. SLB covers F&O stocks and, since July 2013, other liquid stocks that meet the exchanges' criteria, but trading in it is thin: on a typical day a few dozen stocks are lent. In practice the overnight short in an Indian stock is a short single-stock future (or an options position), and this exists only for F&O stocks. Stock derivatives have been physically settled since the October 2019 expiry.

2.2 The F&O segment

A stock enters the F&O segment when it meets SEBI's eligibility criteria (market capitalisation, traded value, order size, MWPL and delivery value; the criteria were tightened in 2018 and again on 30 August 2024) and leaves it after failing them. From 2015 to October 2026 there were 239 entries and 171 exits, 162 of them eligibility exits after which the stock kept trading in the cash market. Entry gives a stock futures and options and formal short-selling eligibility at once, and exit removes them.

2.3 The market-wide position limit and the ban

A stock enters the ban when market-wide open interest exceeds 95% of its MWPL at the end of a day, from the next day, and leaves it when open interest falls to 80%. During the ban every participant may only reduce positions, in all expiries and in both futures and options; rolling a position into the next expiry is not permitted. How the rule was enforced changed twice, and the changes matter for the results:

- *Until 22 March 2020*, violations were judged on end-of-day positions, so positions opened and closed within a day were not breaches.

Table 2.1: Position-limit rules over the sample

Period	MWPL	Open interest tested
To 30 Sep 2025	20% of shares held by non-promoters (free float)	Gross open interest, futures and options
20 Mar to 26 Nov 2020	Halved for volatile or heavily used stocks (61 stocks)	Gross open interest
From 1 Oct 2025	Lower of 15% of free float and 65 times average daily delivery (in shares), floor 10% of free float; recomputed quarterly	Futures-equivalent (delta-adjusted) open interest

- *From 23 March 2020*, after SEBI's press release 18/2020, the clearing corporations judged violations on peak intraday positions; this was kept "till further directions" when the other March 2020 measures were withdrawn in November 2020.
- *From 1 October 2025*, under SEBI's circular of 29 May 2025 and NSE Clearing circular 119/2025, an entity's end-of-day futures-equivalent position must fall relative to its position when the ban began. This is more permissive than the earlier rule of trading only through offsetting positions: new contracts that lower the delta (for example a long put against a long future) are allowed. The package as a whole was not a relaxation: every stock's MWPL fell, and intraday monitoring of MWPL utilisation began on 3 November 2025.

Increases in a banned stock are penalised (from October 2025: 1% of the value of the increase, minimum Rs 5,000 and maximum Rs 1 lakh per entity per stock per day).

2.4 Costs

The STT on the sale of futures was 0.01% from June 2013, 0.0125% from 1 April 2023, 0.02% from 1 October 2024 and 0.05% from 1 April 2026. Delivery trades in the cash market pay 0.1% on each side, and physical settlement of stock derivatives pays 0.1%. Stamp duty on purchases has been uniform since July 2020 (0.015% for delivery, 0.002% for futures). Exchange transaction charges were revised on 1 October 2024.

2.5 Arbitrage capital

Arbitrage mutual funds hold long cash, short futures positions and are taxed as equity funds. When the taxation of debt funds changed on 1 April 2023 (the same day as an STT increase), arbitrage funds became the tax-efficient home for short-term money. Their net assets were Rs 56,218 crore in April 2018, Rs 71,106 crore in April 2023, Rs 1.99 lakh crore in October 2024 and Rs 2.98 lakh crore in September 2026.

2.6 Prices

NSE sets a stock future's daily settlement price at a theoretical cost-of-carry value when the contract does not trade in the last half hour. A settlement-price basis would therefore shrink

mechanically on thin days, including ban days; all measures in this thesis use traded prices. From 3 August 2026 the closing price of F&O stocks comes from a closing auction.

Chapter 3

A model of constrained arbitrage in India

This chapter summarises the model; the full version with proofs and numerical checks is Appendix C. The aim was to fix a framework before the empirical work, so that the hypotheses are derived rather than fitted, and to let every Indian limit enter as a parameter of one model.

3.1 Set-up and the no-arbitrage band

The basis is the gap between the futures price and its cost-of-carry value, $m = \ln F - \ln F^*$ with $F^* = (S - \mathrm{PV}(D))e^{r(T-t)}$. Outside traders trade the stock and the future. Without arbitrage the basis equals u/Φ, where u is the relative demand pressure toward futures and Φ measures the depth of the two markets. An arbitrage sector holds a units of the cash-and-carry trade (long stock, short future). Market clearing gives

$$m = \frac{u - a}{\Phi}.$$

The sector chooses a to maximise $am - \frac{\gamma}{2}a^2 - c_+a^+ - c_-a^-$, where $\gamma = \alpha\sigma^2$ reflects risk aversion per unit of capital and the risk of the basis before convergence, c_+ is the cost of a cash-and-carry position and c_- the cost of a reverse position, which needs borrowed stock.

Result 1 (band). Arbitrage starts only when the basis leaves $[-c_-,\, c_+]$. Inside, the basis moves one-for-one with demand ($\partial m/\partial u = 1/\Phi$); outside, arbitrage absorbs part of each shock (slope $\gamma/(\gamma\Phi + 1)$).

Result 2 (comparative statics). Costs set the edges one-for-one, so an STT increase should move the upper edge by about the change in cost; capital and risk set how far the basis travels beyond an edge; the edges shrink as expiry approaches; and because reverse arbitrage is costlier in India ($c_- > c_+$), the band is centred below zero. With cheap, tax-advantaged cash-and-carry capital whose required return is below the benchmark rate, even the upper edge can be negative.

Result 3 (inventory). When the sector already holds a_{t-1} and pays c_u to unwind, it trades only when the basis leaves $[\gamma a_{t-1} - c_u,\ \gamma a_{t-1} + c_+]$. Thresholds move with the size of the existing book. A threshold model with fixed thresholds therefore estimates average edges, not costs; I confirmed this on data simulated from the model.

3.2 The F&O ban as a reduce-only rule

In a ban, (B1) arbitrageurs may only reduce, $0 \le a_t \le a_{t-1}$; and (B2) outside demand for *new* futures exposure cannot be executed: a share χ of it moves to the cash market (a trader who cannot buy the future buys the stock), and the rest is withdrawn, while closing demand still trades.

Result 4 (one-sided correction). A future that is too rich is no longer corrected, because nobody may open new cash-and-carry positions: every increase in pressure passes through fully. A future that is too cheap is still corrected by unwinding, at a floor $\gamma a_t - c_u$ that rises with the remaining book; the floor wears out as positions are unwound, and an expiry inside the ban removes positions that cannot be rolled.

Result 5 (sign reversal). In normal times new long demand raises the basis; in a ban the same demand lowers it, because part of it moves to the stock.

Result 6 (level effect). Relative to normal times, the ban raises the basis when pressure comes from closing trades and lowers it when new speculative demand keeps arriving. Its sign is not fixed; the observable condition is the composition of order flow.

Result 7 (trading). If the rule binds contract by contract, every futures trade in a ban closes a long and a short, so the change in open interest equals minus the volume; futures volume falls. Trades that offset across instruments (allowed from October 2025) break the identity.

3.3 Anticipation, hysteresis and identification

Result 8 (anticipation). If exit is costlier in a ban, the effective cost of opening cash-and-carry is $c_+ + \pi(\omega)\ell$, where $\pi(\omega)$ is the chance that a position opened at utilisation ω meets a ban. The upper edge rises smoothly as utilisation approaches 95%; the jump at the trigger contains only the reduce-only effects. The model does not sign a density test: arbitrageurs holding back thin the density below 95%, speculators rushing in do the opposite.

Hysteresis. Between 80% and 95% a stock may be in a ban or not; at equal utilisation the difference is the effect of the reduce-only state against the anticipation state.

Result 9 (no instrument). The MWPL enters the ban state, the anticipation term and entity limits. A change in the MWPL moves the basis even without a ban, so it fails the exclusion restriction for an instrument of ban status; denominator changes identify the effect of the whole position-limit regime.

3.4 Short-sale constraints beyond the basis

Result 10 (bad news in a ban). If a share ρ of informed selling runs through short futures, a ban lowers the share of bad news impounded on the day from k to $k(1-\rho)$, so drift after bad news rises; good news is unaffected.

Result 11 (Miller). With dispersed valuations and costly shorting, prices reflect optimists; the overpricing with no shorting is $(\sqrt{\delta} - \sqrt{Q/k})^2$, increasing in the dispersion δ. Entry into the F&O segment lowers the cost of shorting, so it should lower overpricing and speed the incorporation of bad news (Diamond and Verrecchia, 1987); exit should do the reverse.

3.5 From results to hypotheses

Table 3.1: Hypotheses, their source and what would contradict them

	Prediction	Contradicted if
H7	In a ban, rich futures revert more slowly; cheap futures as fast or faster (Result 4)	No asymmetry, or the opposite
H8	In a ban, futures volume falls and change in OI $\approx -$volume; cash activity rises (Result 7)	Futures activity unchanged
H3	Band edges move with the STT, more for larger increases (Result 2)	Edges unrelated to cost changes
H6	F&O entry lowers price delay and bad-news drift; exit raises them (Result 11)	No change or the opposite
Level	The level effect follows the composition of order flow (Result 6)	Sign unrelated to composition
H9	Upper tail rises smoothly toward 95%; reforms act through utilisation (Results 8, 9)	Jump only at 95%
H2	Drift after bad news larger in a ban (Result 10)	Symmetric response
H1	Wider bands where frictions are higher (Results 1 to 3)	No relation
H4	Scarcer capital widens the band (Result 2)	No relation
H5	Overpricing-side anomalies stronger where shorting is costly (Result 11)	Symmetric effects

H7, H8, H3 and H6 form the primary family, corrected jointly for multiple testing; the rest are secondary and reported without adjustment.

Chapter 4

Data and measurement

4.1 Sources

All data come from public archives, downloaded and parsed with scripts so that every step can be repeated (Appendix B).

Table 4.1: Data sources

Source	Content	Coverage
NSE combined open interest files	MWPL, open interest, futures-equivalent open interest (from Oct 2025), next-day status	Feb 2010 to Oct 2026
NSE securities-in-ban lists	Official ban list	Feb 2010 to Oct 2026
NSE F&O and cash bhavcopies, delivery files	Prices, traded value and quantity, contracts, open interest, delivery	2015 to Oct 2026
NSE corporate actions	Dividends, splits, bonuses and other events with ex-dates	2014 to 2026
NSE announcements, results filings, board meetings	First dissemination time of quarterly results	2014 to 2026
NSE SLB bhavcopies	Daily securities-lending trades and fees	2015 to Oct 2026
AMFI	Half-yearly average market capitalisation lists; monthly arbitrage-fund flows and assets	2017 to 2026; Apr 2018 to Sep 2026
OECD via FRED	Three-month interbank rate (monthly)	2011 to 2026

4.2 Checks

The daily "no fresh positions" flags agree with the next day's official ban list on 99.85% of stock-days; utilisation exceeded 95% on the day before 99.4% of ban spells began and was at or below 80% on the last day of 99.7%. On three days the official list is missing at the exchange; those lists are imputed from the previous day's flags and continuing spells and flagged. The set of stocks in the open interest files matches the stock futures in the F&O bhavcopy, and an independent daily membership file for 2016 to 2025 agrees on every stock-day. The futures volume-weighted average price lies inside the day's range for 99.8% of contracts after recovering lot sizes in the older files. Results announcements are dated from the exchange's first dissemination time; the results filings alone often carry later re-filing times and current rather

than historical symbols, so announcements, board meetings and the history of each security's identifier are combined, which covers 98% to 100% of F&O stock-quarters.

4.3 Bans

Table 4.2: F&O bans by year, 2015 to 2026

Year	F&O stocks (avg per day)	Stocks banned	Ban spells	Ban stock-days	Median spell (days)	Longest spell (days)
2015	154	16	69	367	4	21
2016	172	27	136	645	4	17
2017	200	43	287	1586	5	24
2018	206	38	162	810	4	31
2019	176	23	86	508	4	17
2020	140	40	178	756	3	13
2021	163	26	162	789	4	16
2022	196	23	100	457	4	13
2023	187	41	193	942	4	17
2024	185	49	289	1656	5	22
2025	216	37	93	558	5	16
2026[a]	209	10	33	342	10	29
2015 to 2026	183	141	1788	9416	4	31

January to 27 October 2026. Spells are counted in the year they start.

Over 2015 to 2026 there were 1,788 ban spells covering 9,416 stock-days and 141 stocks. Bans are concentrated: the most frequently banned stock had 76 spells. Before October 2025 the median spell lasted four trading days; the 44 spells since then have a median of nine. On 1 October 2025 the new formula lowered the MWPL of all 208 F&O stocks, to a median of 73% of the old value (Figure 4.2).

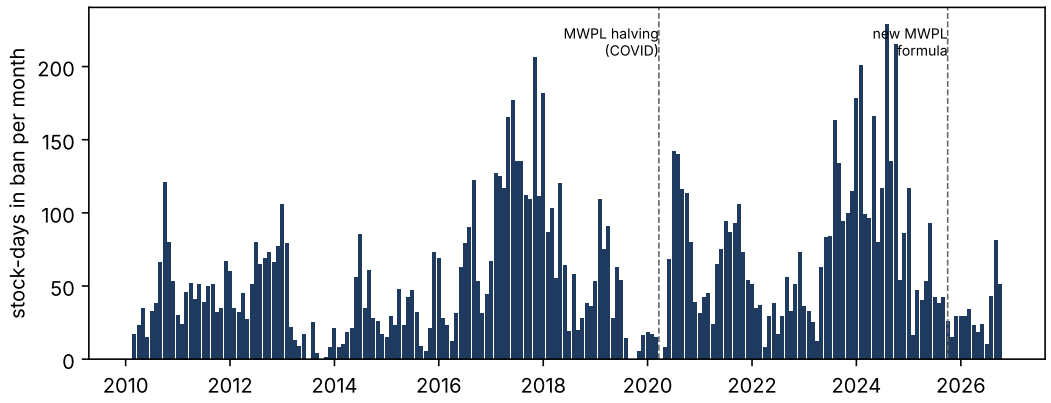


Figure 4.1: Stock-days in the F&O ban per month, 2010 to 2026.

4.4 The basis

For each stock and day, the basis is computed from the volume-weighted average prices of the future and of the stock, net of dividends going ex before expiry and of carry at the three-month

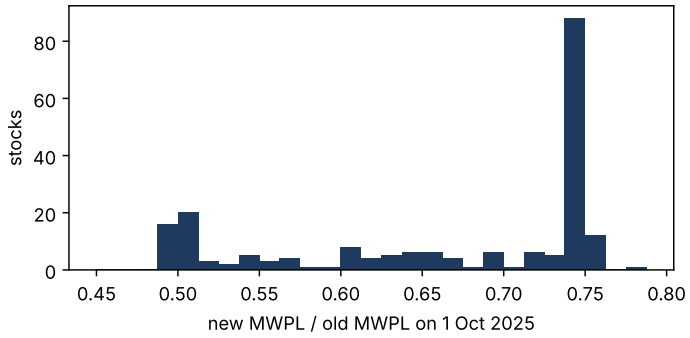


Figure 4.2: Ratio of the new to the old MWPL on 1 October 2025, all F&O stocks.

interbank rate:

$$m_{it} = \ln \bar{F}_{it} - \ln \left(\bar{S}_{it} - \mathrm{PV}_{it}(D) \right) - r_t \tau_{it}.$$

The near-month contract is used, switching to the next month when three or fewer trading days remain; at least five contracts must trade; contracts with a dividend or other corporate event in their life and the first 20 trading days after a stock enters the F&O segment are excluded; the basis is winsorised at 1% and 99% within each year. The resulting sample has 486,040 stock-days for 371 stocks, 8,851 of them in a ban. On the clean sample the median basis is +1.2 bp, and the 10th and 90th percentiles are −33.0 and +26.2 bp; the lower tail is wider than the upper. The basis shrinks toward expiry. A relative implied repo rate (the stock's implied financing rate minus the day's cross-sectional median) and a basis built from closing prices are used as checks.

4.5 Other outcomes

- *Trading:* futures contracts traded (near and next month), the change in open interest in contracts, the ratio $R = (\Delta OI + V)/V$, cash volume and the delivery share.
- *Earnings drift:* the buy-and-hold return over days +2 to +64 after a results announcement minus that of the stock's size-decile portfolio; the surprise is the abnormal return over days −1 to +1; bad (good) news is the bottom (top) tercile within each quarter. Returns are adjusted for splits, bonuses and dividends (the exchange's previous-close field is not), and events with a price below Rs 5 are excluded.
- *Price delay:* the share of a stock's weekly return variation explained by lagged market returns (Hou and Moskowitz, 2005), by calendar year.

4.6 A constraint index for all stocks

To measure how hard arbitrage is in each stock without using the outcomes or the treatments, I build a quarterly index for all NSE stocks (80,042 stock-quarters, 3,310 stocks, 2015 to 2026) from five frictions: no short channel (not in the F&O segment), SLB scarcity (share of days without any SLB trade), the Corwin and Schultz (2012) spread, Amihud (2002) illiquidity and idiosyncratic volatility. Each is standardised within the quarter, and the index is their first principal component, which explains 53% of their variance; all five load positively (0.37 to 0.49)

and the loadings are stable from year to year. The index is persistent (quarter-to-quarter rank correlation 0.90).

Table 4.3: Validation of the constraint index (frictions measured before outcomes)

Outcome	Coefficient per s.d. (s.e.)	Observations
Price delay, next year (year fixed effects)	+0.058 (0.003)	15,790
Price delay, next year (stock and year fixed effects)	+0.032 (0.005)	15,790
Absolute drift after announcements, next quarter	+0.023 (0.001)	69,673
Drift after bad news	−0.008 (0.001)	23,219
Drift after good news	+0.001 (0.001)	23,095

More constrained stocks respond more slowly to market news, also within a stock over time, and drift more after bad but not good news, the asymmetry a short-sale constraint should produce (Table 4.3). These are associations; the drift regressions do not control for size. Within F&O stocks, the short-channel component does not vary and SLB activity appears to reflect demand to borrow rather than ease of borrowing, so for the futures-cash band of F&O stocks I use a separate F&O index that adds utilisation of the position limit (Chapter 5).

Chapter 5

The no-arbitrage band: costs, capital and position limits

This chapter describes the band within which the basis moves in normal times and relates it to the three slow-moving limits: trading costs, arbitrage capital and the position-limit regime. It uses non-ban stock-days only.

5.1 Estimating the band

Let x_{t-1} be yesterday's basis minus the stock's median basis on non-ban days, in basis points, and Δm_t the change in the basis of the same contract. The three-regime threshold model is

$$\Delta m_t = a_r + \rho_r x_{t-1} + e_t, \qquad r = \begin{cases} \text{lower} & x_{t-1} < g_L \\ \text{middle} & g_L \le x_{t-1} \le g_U \\ \text{upper} & x_{t-1} > g_U, \end{cases}$$

with the thresholds chosen to minimise the sum of squared residuals over a grid of percentiles of x (at least 10% of observations in each outer regime and 20% in the middle). Linearity is tested with a sup-F statistic whose distribution under the linear model comes from a wild bootstrap clustered by date; threshold intervals come from resampling whole stocks. I also estimate exponential and logistic smooth-transition models (Tse, 2001), in which the speed of reversion changes smoothly with the deviation, and models in which it changes smoothly with an observed state.

Table 5.1: Pooled threshold model, non-ban days, 2015 to 2026 (473,110 observations, 360 stocks)

	Lower regime	Middle regime	Upper regime
Threshold (bp, relative to the stock's median)	below −34.5		above +23.9
95% interval (stock bootstrap)	[−37.2, −32.2]		[+20.3, +26.1]
Share of observations	0.12	0.76	0.12
Slope of Δm_t on x_{t-1}	−0.084	−0.468	−0.809
Slope, instrumented by x_{t-2}	−0.121	−0.192	−0.141

Linearity is rejected (sup-F 7,471 against a bootstrap 95% critical value of 31). The band

is about 58 bp wide and asymmetric: the lower edge is further from the centre, as expected when reverse arbitrage is costlier than cash-and-carry. By the Bayesian information criterion the threshold model fits best, the logistic smooth-transition model (slow reversion below +5 bp, fast above) almost as well, and the symmetric exponential model clearly worse; a symmetric smooth transition does not suit an asymmetric band.

The slopes need care. Inside the band the model of Chapter 3 predicts almost no correction, yet the middle slope implies a half-life of about one day. Daily volume-weighted prices contain noise, and classical noise biases these slopes toward −1. Instrumenting x_{t-1} with x_{t-2} (last row of Table 5.1, with regimes classified by x_{t-2}) shrinks all three slopes and removes most of the difference between the upper and lower regimes. Much of the day-to-day reversion is therefore noise, and the slower reversion of cheap futures in the threshold model is not a robust finding. The thresholds, which describe where the basis spends its time, are less affected.

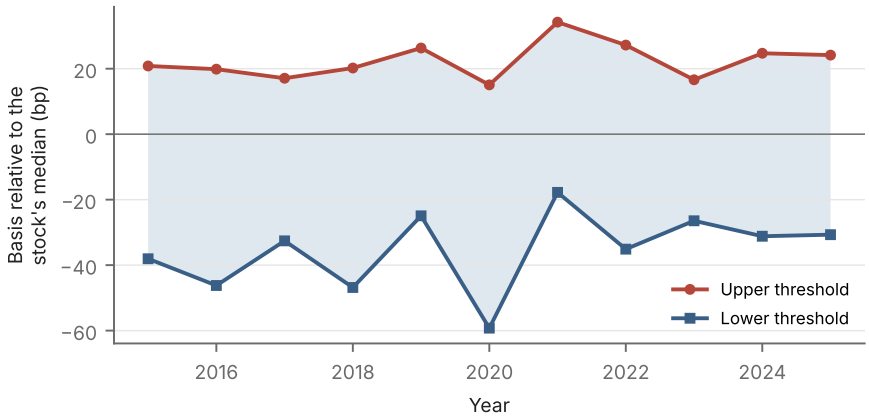


Figure 5.1: Estimated band edges by year (pooled threshold model, non-ban days, basis relative to each stock's median).

The band is stable across years (Figure 5.1), apart from 2020, when the March dislocation pushed the lower edge to −59 bp. The lower edge is wider far from expiry (−40 bp with 17 or more trading days left against −28 bp in the last ten days), in line with edges that shrink as expiry approaches. In a smooth-transition model with the number of trading days to expiry as the state, reversion is faster in the last week (the slope rises by 0.22 above seven days, s.e. 0.02).

5.2 Costs

Pre-specified test (H3). Around each STT increase I compare each stock's 80th percentile of the basis in the 40 trading days before and the 40 from the event. Pooling 2024 and 2026,

Table 5.2: Change in stock-level percentiles of the basis around STT increases (bp)

Event	STT change	Stocks	80th percentile	20th	Median
3 Apr 2023[a]	+0.25	181	−2.12	+0.24	+0.27
1 Oct 2024	+0.75	172	+6.42	+4.55	+5.39
1 Apr 2026	+3.0	192	+7.44	+2.10	+6.30

[a] Same day as the change in the taxation of debt funds; reported, not used as evidence.

the mean change in the 80th percentile is +6.96 bp (s.e. 0.61, clustered by stock), and the ordering of the three events matches the size of the cost changes. On the pre-specified statistic H3 is supported. The pre-specified placebo, the same statistic at 30 dates away from the true events, tells a more cautious story: shocks common to all stocks move the whole distribution, the placebo statistic has a standard deviation of 7.4 bp, and the true changes rank at the 10th and 7th percentiles of the placebo distribution. The changes in the band's width and in the upper percentile relative to the median are not unusual. The rise is mostly a shift of the whole distribution, larger than the cost changes, and standard errors clustered only by stock overstate the precision when every observation shares the same event date (Kolari and Pynnönen, 2010).

Band edges by tax period. Measuring each deviation from the stock's median within each period (the full-sample median does not remove the 2026 level shift), the upper threshold is +23.8, +18.9, +23.1 and +28.9 bp in the four STT periods and the lower threshold −39.1, −30.9, −31.5 and −31.5 bp. The upper edge is highest in the highest-tax period but does not rise step by step with the tax. Reversion above the upper edge weakens over time (slope −0.77, −0.55, −0.20, −0.15), which coincides with both rising costs and rising arbitrage capital.

A bottom-up cost band. The full round trip of an overnight cash-and-carry position (STT of 0.1% on the cash purchase and on delivery at expiry, STT on the futures sale, stamp duty, exchange charges, the SEBI fee, GST and an institutional brokerage of 0.01% per leg) costs 27.1, 27.3, 28.0 and 31.0 bp in the four periods (25 to 38 bp for brokerage between 0.005% and 0.03% per leg). Rolling an existing position for one more month costs 4.0 to 8.0 bp. The estimated upper threshold in levels (+22 to +28 bp) and the 80th percentile lie below the full round trip, which sits between the 90th and 95th percentiles. New capital enters only at large deviations; funds that keep capital in place and roll can lean against much smaller ones. This is one reason why fixed thresholds sit inside the full cost band, as the model's inventory result implies.

5.3 Arbitrage capital

Pre-specified test (H4). Monthly, from May 2018 to September 2026, I regress the 80th percentile of the basis across all non-ban stock-days on last month's net inflow into arbitrage funds as a share of their assets, with step dummies for April 2023, October 2024 and April 2026. The coefficient is −17.5 bp per unit of flow (Newey-West s.e. 14.2, one-sided $p = 0.11$): a 10% inflow goes with a 1.7 bp lower upper quantile the next month. In first differences the relation is clearer (−20.6, s.e. 6.8), and it is visible before April 2023 (−26.0, s.e. 16.5) but not after (+17.1, s.e. 16.9). Same-month flows have a positive coefficient, as expected when flows chase the returns that a rich basis offers. With about a hundred months the test has little power.

Capital as a state. In a smooth-transition model with log arbitrage-fund assets as the state, reversion is faster when assets are large (the slope falls by 0.077, s.e. 0.019, above about Rs 95,000 crore). This variable also orders time, so the evidence is descriptive.

5.4 Position limits

Anticipation (H9). On non-ban days before October 2025, the share of days on which a stock's basis is in its own upper tail (above the 80th percentile of its days with utilisation below 60%) rises from 0.20 to about 0.27 as utilisation the day before approaches 95% (Figure 5.2). With stock and date fixed effects, the slope of this share on utilisation between 0.60 and 0.95 is +0.079 (s.e. 0.038, one-sided $p = 0.019$), the lower tail does not change, and the increase comes more as a step around 0.75 than as a smooth slope. The basis is more often rich as the trigger nears, as the anticipation result predicts, although high utilisation also signals demand pressure. In a smooth-transition model with utilisation as the state, reversion weakens as utilisation rises (the slope rises by 0.225, s.e. 0.053).

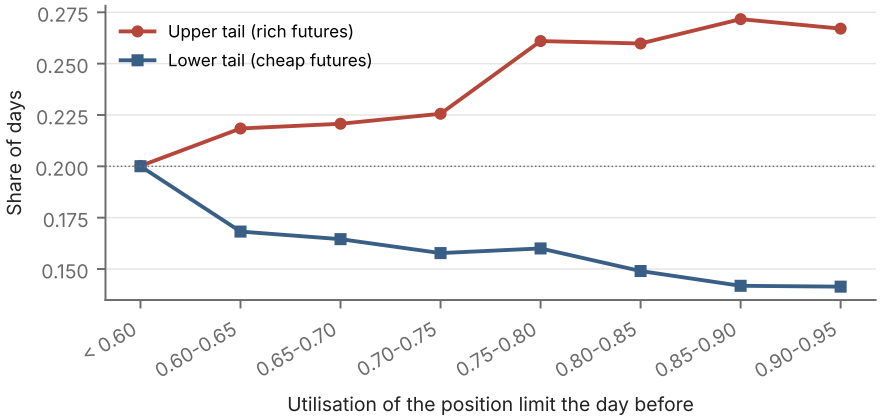


Figure 5.2: Share of non-ban days with the basis in the stock's upper and lower tail, by utilisation the day before (raw shares, before October 2025). With date fixed effects the lower-tail decline disappears; the upper-tail rise remains.

The October 2025 formula and quarterly resets. The size of each stock's MWPL cut on 1 October 2025 (0.24 to 0.69 log points) raised its utilisation strongly (first stage +0.28 per unit, s.e. 0.03). Its effect on the upper tail is +0.061 (s.e. 0.050, $p = 0.11$), on the level +4.8 bp and on bans +0.023: all in the predicted direction, none significant. The quarterly resets of January, April and July 2026 move utilisation but show no effect on the basis.

5.5 Frictions across stocks (H1)

For F&O stocks I build a quarterly friction index from the spread, illiquidity, idiosyncratic volatility, utilisation of the position limit and SLB scarcity, measured in the previous quarter. A one standard deviation higher index goes with a band (80th minus 20th percentile of the basis) 3.5 bp wider (s.e. 1.1, one-sided $p = 0.002$; mean 40.8 bp) and a mean absolute basis 2.5 bp larger. The relation is across stocks: with stock fixed effects it disappears. The persistence measure moves the wrong way, which the noise result above explains, and SLB scarcity enters with the wrong sign, which suggests that SLB activity reflects demand to borrow. Per-stock threshold models (258 stocks) give a median band of −26 to +17 bp, and their widths are not related to the stocks' average index.

5.6 Summary

The basis follows a wide, asymmetric, nonlinear band. Its edges respond to costs less cleanly than the model implies; the full cost of new arbitrage lies in the outer tail, while the cost of keeping capital in place is small. Capital and the position-limit regime leave traces in the predicted direction (faster correction with more capital, a richer basis near the trigger), but the formal tests of capital flows and of the 2025 reform are not significant.

Chapter 6

The F&O ban

6.1 Trading in a ban (H8)

I compare each stock's ban days with its own non-ban days at similar utilisation the day before (80% to 95%, the only range in which both occur), before October 2025, excluding expiry days, with stock-by-utilisation-bin and date fixed effects and standard errors clustered by stock and date. Futures trading falls by about 87%, cash volume rises by about 7.5% and more of it is

Table 6.1: Effect of a ban on trading

Outcome	Effect (s.e.)	Non-ban mean
log(1 + futures contracts traded)	−2.00 (0.11)	
log(1 + cash shares traded)	+0.073 (0.027)	
Delivery share of cash volume	+0.041 (0.005)	0.26

delivered (Table 6.1). H8 is supported.

The model also predicts that if the rule binds trade by trade, the change in open interest equals minus the volume, so $R = (\Delta OI + V)/V$ is zero on ban days (it is about one on normal days). Over the whole period the ban-day mean of R is 0.42, so the identity fails on the pre-set reading. The explanation lies in enforcement (Figure 6.1): until 22 March 2020, when violations were judged on end-of-day positions, the median ban-day R is 0.87; from 23 March 2020, when the clearing corporations judged violations on peak intraday positions, it is 0.011; under the delta-based rule from October 2025 it is 0.19 to 0.36. When the rule binds trade by trade, the identity holds almost exactly. The effect of a ban on futures volume is −0.97 log points before March 2020 and −2.72 after.

6.2 Does correction become one-sided? (H7)

I regress the daily change in the basis on yesterday's deviation from the stock's median, separately in an upper regime (above the stock's 80th percentile on non-ban days), a middle and a lower regime (below the 20th percentile), and let each slope change on ban days. The model predicts that upward deviations revert more slowly in a ban ($\delta_{up} > 0$) and downward deviations as fast or faster. The prediction fails, with the opposite sign: in a ban rich futures revert faster and cheap futures more slowly (Table 6.2). This holds with other threshold definitions, without imputed

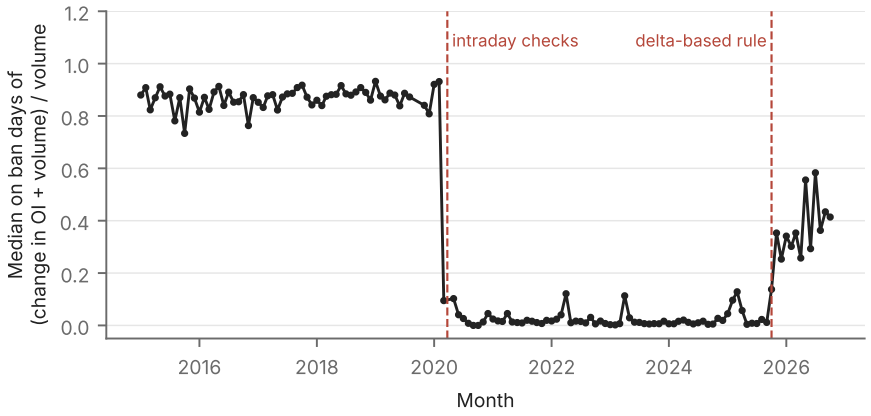


Figure 6.1: Monthly median of $(\Delta OI + V)/V$ on ban days (near and next futures, expiry days excluded).

Table 6.2: Reversion of the basis by regime, and its change in a ban

	Normal slope (s.e.)	Change in a ban (s.e.)
Upper regime	−0.712 (0.010)	−0.089 (0.037)
Middle	−0.393 (0.026)	+0.099 (0.062)
Lower regime	−0.204 (0.010)	+0.081 (0.030)

ban days and with the relative implied repo rate; with the close-based basis the upper change is about zero. It is stronger on liquid days, differs by enforcement period, and is concentrated in the first days of a spell (−0.163 in the first five calendar days against −0.008 later). Instrumenting yesterday's deviation with the deviation two days earlier, to remove the effect of noise in daily prices, gives −0.190 (s.e. 0.077) for the upper regime and +0.088 (0.015) for the lower: the result is not caused by noisier prices on ban days.

A reading consistent with these facts, though not tested in advance, is that at the start of a ban the model's second channel dominates: demand for new futures exposure is blocked, which removes the pressure that had made futures rich, so upward deviations close quickly. The prediction tested was derived from the reduce-only arbitrage channel alone.

6.3 The level of the basis when a ban starts

Design. Each ban spell from 2015 to September 2025 with no ban in the five days before it is an event. Controls are other stocks in the same week with utilisation between 85% and 95% and no ban within five days, matched (up to five, nearest by Mahalanobis distance) on the utilisation path of the previous five days and the basis on the day before. The outcome is the change in the basis from the day before the ban, treated minus matched controls, averaged over the ban days among the first five. Composition C is the change in futures open interest over the five days before entry divided by futures volume.

Results. Over 889 matched entries the basis falls by 6.3 bp on average (median −7.8). With falling open interest before entry ($C \leq 0$, 30 events) it rises by 8.4 bp (s.e. 10.9); with rising open interest it falls by 6.8 bp (s.e. 1.8). The difference, the pre-specified statistic, is −15.2 bp

(one-sided $p = 0.083$): the signs are those of the model's level result, but the closing-pressure group is small because open interest must rise for utilisation to cross 95%. Splitting at the median of C instead gives a difference of -5.8 (s.e. 2.9, $p = 0.025$), and C as a continuous variable gives -4.8 per standard deviation (s.e. 1.6, $p = 0.001$). The basis returns to its earlier level about a week after the start (Figure 6.2).

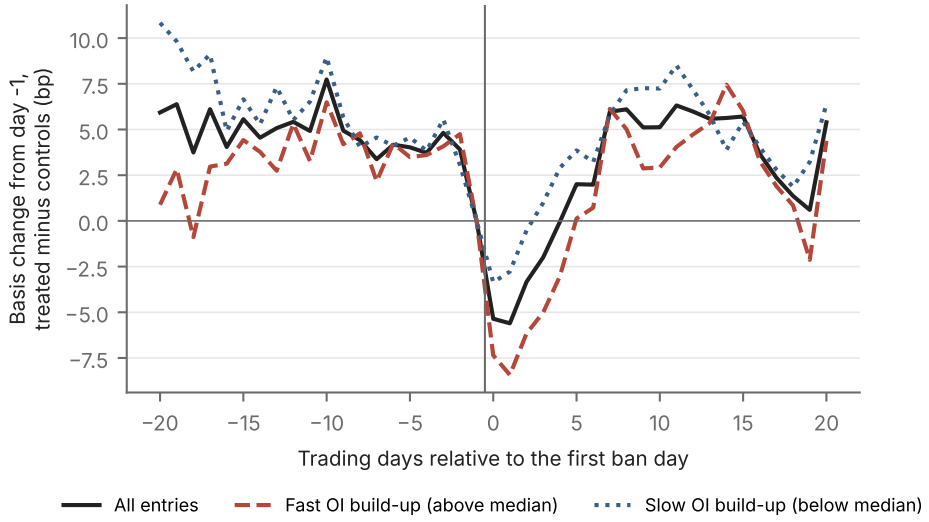


Figure 6.2: Change in the basis from the day before a ban starts, treated minus matched controls, by event time.

Caveats. The matching leaves the treated basis 10 bp below that of the controls on the day before, and the treated basis dips on that day; with the baseline taken over days -10 to -2, or controlling for the gap, the in-ban fall is 9 to 11 bp and the composition slope stays negative. With controls from the same day only (685 events) the fall is -4.0 bp (s.e. 2.0) but the composition gradient is not significant. Classifying events instead by the direction of open interest and price (long build-up, short build-up, short covering, long unwinding), the in-ban fall appears for both long build-up (-7.9 bp) and short build-up (-5.5 bp), so it is not specific to new long demand.

6.4 The 95% trigger

Density. Among stocks that were below 95% the day before, the density of today's utilisation is smooth through the trigger (Figure 6.3; Cattaneo, Jansson and Ma test, $T = -0.18$, $p = 0.86$), across polynomial orders, bandwidths and enforcement periods. Utilisation accelerates rather than stalls near the trigger: its mean daily change is larger just below 95%, and the share of stocks crossing the next day rises steadily to about one half at 0.93 to 0.95. There is no sign that traders hold back to avoid a ban.

Regression discontinuity. For stocks not in a ban the day before, crossing 95% puts the stock in the ban the next day in 99.7% of cases. Local linear estimates with robust bias-corrected

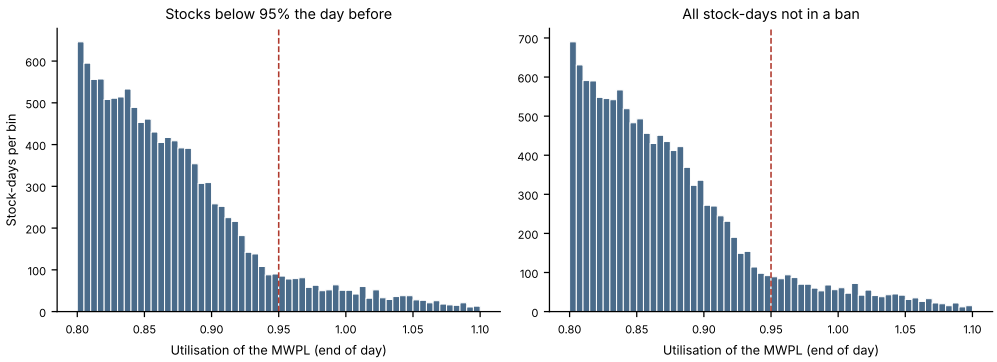


Figure 6.3: Utilisation at the end of the day. Left: stocks that were below 95% the day before. Right: all stock-days not in a ban (this population thins above 95% by construction, because stocks above the trigger are in the ban the next day).

inference show sharp jumps in trading: futures contracts −1.53 log points, R −0.66, delivery share +0.051; cash volume does not jump. The basis level is 12.9 bp lower above the cutoff ($p = 0.02$), but the basis is already 11.3 bp lower on the crossing day itself, before the ban starts, and the change on the first ban day is small (−2.8, s.e. 4.1). The discontinuity therefore confirms the trading mechanism but cannot separate a level effect of the ban from the pressure that pushes utilisation over the trigger.

Hysteresis. Between 80% and 95% utilisation, stocks in a ban and stocks not in a ban can be compared at equal utilisation. Controlling for utilisation, its change, five lags of the basis and stock and date fixed effects, being in a ban changes the basis by +0.4 bp (s.e. 0.8, $p = 0.64$); without the lags the difference is −14.1 bp. Banned stocks carry the low basis of the start of the spell; the reduce-only state does not shift it further. Its effect on trading is as strong as in H8.

6.5 Bad news in a ban (H2)

Of 8,586 results announcements of F&O stocks, 179 fall on ban days, 55 of them bad news, so this test has little power, as stated in advance. The drift after bad news is −1.25% outside bans relative to the middle tercile; in bans the additional effect is +0.7% (s.e. 3.4). Outside bans the basis over the five days before an announcement is 2.0 bp lower before bad news than before good news (s.e. 1.1, one-sided $p = 0.04$), the pattern reported by Saurav, Srivastava and Agarwalla (2026); inside bans the difference cannot be estimated with useful precision.

6.6 Summary

Bans bind hard on trading, and the identity that every trade closes positions holds once the rule is enforced on intraday positions. The basis does not behave as the reduce-only arbitrage channel alone predicts: rich futures revert faster, and the basis falls when a ban starts, more after fast build-ups of open interest. Both facts fit the model's second channel, blocked new demand, but that reading was formed after seeing the results.

Chapter 7

F&O eligibility and the cross-section

7.1 Entry into and exit from the F&O segment (H6)

Entry gives a stock futures, options and formal short-selling eligibility at once; an eligibility exit removes them while the stock keeps trading in the cash market. This changes the short-sale constraint for many more stocks than the ban does, and against the whole cash market as a control group.

Design. Stocks by calendar year, 2015 to 2025. A stock's cohort is the first year fully after its event; the event year is a transition year. For price delay I use the Callaway and Sant'Anna (2021) estimator with never-treated and not-yet-treated controls and base-year covariates (log market capitalisation, log traded value, volatility), with a stock-cluster bootstrap. Drift exists only at announcements, so for drift after bad news I use a stacked difference-in-differences at the announcement level. The family statistic is a Bonferroni combination of the four components.

Table 7.1: Effects of F&O entry and exit

Component	Prediction	Estimate	s.e.	One-sided p
Entry: price delay	< 0	-0.109	0.023	1.3×10^{-6}
Entry: drift after bad news	> 0	-0.040	0.018	0.99
Exit: price delay	> 0	$+0.053$	0.040	0.091
Exit: drift after bad news	< 0	$+0.014$	0.020	0.77

Prices of stocks that enter the segment respond much faster to market-wide news (median delay 0.24 before entry), and those of stocks that leave somewhat more slowly. The Sun and Abraham (2021) estimator gives -0.063 (s.e. 0.019) for entries, leads three and four years before entry are close to zero, and the result holds without the large November 2024 batch and without back-cast market capitalisations. The drift components go the other way: after entry the drift that follows bad news is stronger, not weaker. H6 is supported through price delay and contradicted through drift. Entry requires a stock to have grown in size and liquidity, which by itself speeds price adjustment; the covariates and the flat leads limit, but cannot rule out, selection on growth.

7.2 Anomalies and short-sale constraints (H5)

Each month I sort stocks within three constraint groups (F&O stocks; cash-only stocks with SLB trades in the last three months; cash-only stocks without) into terciles of a composite mispricing score built from momentum, short-term reversal, maximum daily return, idiosyncratic volatility, illiquidity and turnover, and measure the most overpriced and most underpriced terciles against the group's value-weighted return. The model predicts that the overpriced side does worse where shorting is hardest, while the underpriced side does not differ.

Value-weighted, it does not: the short-leg difference between the most constrained group and F&O stocks is +0.04% a month (s.e. 0.20). Equal-weighted, anomalies are far stronger among small cash-only stocks, but on both sides (short leg −0.49%, long leg +0.46% a month relative to F&O stocks), which is a small-stock effect rather than the one-sided pattern of a short-sale constraint. Momentum alone fits the prediction: losers among constrained stocks do worse (−0.51% a month, s.e. 0.22). The groups differ greatly in size (median market capitalisation Rs 43,513 crore for F&O stocks against Rs 770 crore for cash-only stocks without SLB trades), which limits what this comparison can show.

7.3 Drift and price delay across all stocks

Two further comparisons use the whole cash market. First, relative to F&O stocks of the same size decile, cash-only stocks drift −0.67% more after bad news (s.e. 0.42) and +2.40% more after good news (s.e. 0.43): they under-react in both directions. Second, the constraint index of Chapter 4, which combines the lack of a short channel with SLB scarcity, spreads, illiquidity and idiosyncratic volatility, predicts slower price adjustment the next year (also within a stock over time) and larger drift after bad news, but not after good news. The index captures the asymmetry that the simple cash-only comparison misses, although its drift regressions do not control for size.

7.4 Summary

Short-sale access matters for how fast prices adjust: entry into the F&O segment speeds the response to market news, and more constrained stocks adjust more slowly. The evidence on overpricing and on drift after bad news is mixed: entry does not weaken bad-news drift, value-weighted anomaly returns do not show the predicted asymmetry, and only the broader constraint index lines up with slower absorption of bad news.

Chapter 8

Conclusion and policy

8.1 What binds

Table 8.1: The pre-specified tests

Hypothesis	Pre-specified result	Comment
Primary family (Holm correction at 5%)		
H8: trading leaves futures in a ban	Supported ($p < 10^{-10}$)	Identity holds under intraday enforcement
H3: costs set the band edges	Supported ($p < 10^{-10}$)	Placebo-calibrated evidence weak; mostly a common shift
H6: short-sale access	Supported ($p = 5 \times 10^{-6}$)	Through price delay; drift goes the other way
H7: one-sided correction	Rejected, opposite sign	Survives a noise correction
Secondary (unadjusted)		
Level effect by composition	$p = 0.083$	Signs as predicted; median split $p = 0.025$
Density at 95%	No discontinuity	No bunching
Regression discontinuity	Basis -12.9 bp, $p = 0.02$	Gap present before the ban
Hysteresis	$+0.4$ bp, $p = 0.64$	No extra level shift
H9 anticipation	$p = 0.019$	Upper tail grows toward 95%
H9 reform	$p = 0.11$	Right direction
H2 bad news in bans	$p = 0.59$	No power
H1 frictions and band	$p = 0.002$	Across stocks only
H4 capital	$p = 0.11$	Clearer in differences
H5 anomalies	$p = 0.57$	Not supported value-weighted

The answer to the question this thesis asks is uneven across the limits. Position limits bind hard on trading: the ban moves trading out of futures as soon as it is enforced on intraday positions. Their effect on prices is real but not the one the reduce-only arbitrage channel predicts; the evidence points instead to the blocking of new demand at the start of a ban. Short-sale access matters for how fast prices adjust to market news, both when a stock enters the F&O segment and across all stocks, but less clearly for overpricing. Trading costs shape the band, which is wide and asymmetric, but its edges do not move one-for-one with the tax: the full cost of a new position lies in the outer tail of the basis, and the cost of keeping arbitrage capital in place is small. Arbitrage capital leaves weak traces in the predicted direction.

With ten secondary statistics reported without adjustment, one or two values below 0.05 would be expected by chance. The secondary results should be read as a pattern, not one by one.

8.2 Policy

SEBI's stated aim in 2025 was to reduce spurious bans and to align derivative limits with cash-market liquidity. Three findings bear on this. First, the ban is costly for liquidity: futures trading falls by almost 90% in a ban. Second, its main price effect appears at the start of a ban and fades within about a week; once a stock is in the ban, staying in it does not move the basis further. Third, enforcement matters: the rule changes trading in the way it is meant to only when positions are checked during the day. The October 2025 rule, which allows any trade that lowers an entity's end-of-day delta, has visibly loosened the link between volume and open interest in banned stocks. Whether the new formula, which lowered every stock's limit, has changed the frequency and cost of bans needs more post-reform data than the 44 spells observed so far.

The SLB market remains thin. Because only F&O stocks may be sold short and the overnight short is in practice a stock future, entry into and exit from the F&O segment change the short-sale constraint of a stock at once. The faster price adjustment after entry is one measurable benefit of that access.

8.3 Limitations and further work

The data are daily, so intraday arbitrage and the exact timing of trades within the day are outside the scope, and noise in daily prices inflates measured reversion. Arbitrage inventory is not observed. The post-reform period is short. Three papers relevant to positioning (Saurav, Srivastava and Agarwalla, 2026; Gagnon, 2018; Brennan and Schwartz, 1990) could not be read in full. Intraday data would allow sharper tests of the ban's effect on correction, and a longer post-reform sample would allow a proper test of the 2025 formula.

Appendix A

The pre-analysis plan and its log

A.1 The plan

Before any outcome (basis, returns, drift, delay) was related to any treatment (ban status, utilisation, MWPL changes, STT dates, F&O entry or exit, the tax change), I wrote a pre-analysis plan fixing the samples, the outcome and treatment definitions, the specifications, the predicted signs, the falsifiers, the inference and the primary and secondary hypotheses. It was frozen with a time-stamped tag in the project's version control on 5 November 2026, after the guide's go-ahead and a full audit of the data. Until then, only treatment-side counts and outcome distributions on their own had been examined.

- *Primary family:* H7 (one-sided correction), H8 (trading), H3 (costs and band edges), H6 (F&O entry and exit), corrected jointly by the Holm method at 5%.
- *Secondary tests:* the level effect, H9, the regression discontinuity at 95% with a density test, hysteresis, H2, H1, H4 and H5, reported without adjustment and labelled exploratory.
- *Inference:* standard errors clustered by stock and date; bootstrap where clusters are few; winsorisation at 1% and 99% within each year, with robustness without.

A.2 The log

Where the plan left a detail open (for example the exact sample filters, the composition split for the level effect, the population for the density test, or the outcome window for drift), I wrote the detail into a dated log, committed it, and only then ran the test. Analyses added after seeing a result are marked as exploratory in the text and listed in the log; the pre-specified result is always reported first. The main entries were:

- the analysis sample, the H7 regimes and test statistic, the H8 comparison zone and identity reading, the H3 windows and placebo, and the H6 design (calendar-year cohorts, controls, covariates, outcome definitions, stacked design for drift, a Rs 5 price filter for event outcomes), all before the primary tests;
- before each secondary test, its design: event and control definitions and a median split for the level effect (only 8% of entries have falling open interest before entry); a density test

on stocks below the trigger the day before (because the density over all non-ban days thins above the trigger by construction); pre-determined placebo outcomes for the discontinuity; five basis lags for hysteresis; stock-specific tail measures and the reform intensity for H9; the interaction design for H2; a principal-component friction index for H1; lagged flows with tax and STT dummies for H4; constraint groups for H5;

- before the band estimation and the constraint index, their specifications;
- exploratory additions: the enforcement-period split for H8, diagnostics and a noise correction for H7, the placebo calibration of H3, an alternative baseline and a build-up classification for the level effect, bandwidth checks for the density test, period-specific demeaning and a noise check for the band.

Appendix B

Data construction

B.1 Ban and position-limit panel

Daily combined open interest files give the MWPL, open interest, futures-equivalent open interest (from October 2025) and the next-day status of each stock from February 2010. About a hundred files write the year in two digits, a few carry another day's data under their own date, and some archives bundle several days; the parser takes dates from the file names, reassigns misdated files and reads every member of bundled archives. Thirteen files from June 2012 are corrupt at the source (before the main sample). Placeholder symbols in some files are restored through the security's identifier (ISIN). The official ban lists are parsed with their trailing punctuation removed; on three days the list is missing at the exchange and is imputed.

B.2 F&O membership

A stock is in the F&O segment on a day if stock futures on it are listed that day. Entries and exits are the first and last days of each membership spell; symbol changes are linked through the ISIN so that they are not counted as events. The F&O file of 30 March 2021 is missing at the exchange and is bridged.

B.3 Prices and the basis

Futures and cash prices, traded value and quantity, contracts, open interest and delivery quantities come from the daily bhavcopies, in the older and the newer (UDiFF, from July 2024) formats. The older futures files do not report lot sizes; they are recovered from open interest and checked against the day's price range (the futures average price lies inside the day's high and low for 99.8% of contracts). The futures volume-weighted price is traded value divided by contracts times lot size; the cash price is traded value divided by quantity. Dividends going ex before expiry are subtracted at their present value; contracts with a dividend or another corporate event in their life are flagged and excluded from the main sample, because adjusting with actual ex-dates over-corrects slightly (some dividends were not yet announced). The rate is the three-month interbank rate; the last published value is carried forward at most two months and flagged.

B.4 Returns and market capitalisation

Daily returns for all stocks use the close and the exchange's previous close, which is not adjusted for corporate actions; splits and bonuses (multiplied when they fall on the same day) and dividends are applied from the corporate-actions feed, missing splits are inferred from price ratios at standard split ratios, and listing days and other event days are set to missing. Market capitalisation comes from AMFI's half-yearly average market-capitalisation lists (from July 2017), turned into share counts and applied to split-adjusted prices; before July 2017 share counts are carried back.

B.5 Results announcements

The release time of each quarterly result is the earliest of the exchange's "financial result updates" announcement and the results filing; board-meeting dates fill gaps and replace filing times that are more than a day after the meeting; each record is mapped to the symbol trading on the event date through the ISIN history. Day 0 is the release day for releases before 15:30 and the next trading day otherwise.

B.6 Securities lending and arbitrage funds

The daily SLB files list each lending trade's stock, tenure, expiry, fee, quantity and value (2015 to 2026; two days missing at the exchange). AMFI's monthly reports give the arbitrage-fund category's flows and assets from April 2018, in two layouts.

B.7 Reproducibility

Every data set is rebuilt from the raw files by scripts, each with a report of counts and checks; the repository's documentation lists the sources, the construction rules, the audit and the exact rebuild sequence.

Appendix C

The theoretical framework in full

The following pages reproduce the full model with proofs, numerical checks and the mapping from results to hypotheses.

Constrained Arbitrage under India's Limits: A Model of the Basis, the F&O Ban and Short-Sale Constraints

Theoretical framework for the BS Project

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Abstract

This note sets out one model that covers the limits to arbitrage the project studies in Indian equities: trading costs, the cost of shorting, arbitrage capital, arbitrage risk, position limits and the F&O ban. Each limit is a parameter of the same model, so every empirical hypothesis is derived from one framework. The core is a mean–variance arbitrage sector that trades the futures–cash basis against outside traders in both markets. Three features matter for the Indian setting. (i) The F&O ban is modelled as it actually operates: a *reduce-only* rule for every participant, not a freeze on the arbitrageur alone. (ii) Arbitrage inventory is a state variable, so the no-trade region moves with existing positions. (iii) Demand that is blocked from the futures market can spill into the cash market. The main prediction is that the ban turns two-sided arbitrage into *one-sided* arbitrage: futures that are too cheap are still corrected (by unwinding existing cash-and-carry positions), while futures that are too rich are not. The ban's effect on the *level* of the basis is *ambiguous*, and the model states the observable conditions that sign it. It also implies that the MWPL denominator is not a valid excluded instrument for ban status, because the same variable moves the probability of a future ban. All closed forms are checked numerically (Appendix A). The note ends with a map from propositions to hypotheses, each with the result that would contradict it.

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1 Purpose

The aim is to fix a theoretical framework before the empirical work, so that the hypotheses are derived rather than fitted. The model builds on the limits-to-arbitrage literature (Shleifer and Vishny, 1997; Gromb and Vayanos, 2010) and on the econometrics of no-arbitrage bands (Dwyer, Locke and Yu, 1996; Tse, 2001; Ters and Urban, 2020). Three design rules guide it:

1. **Institutions as they are.** The ban, the short-selling framework, settlement prices and costs are modelled from the primary sources (SEBI circular 2025/79; NSE Clearing circular 119/2025 and its FAQ of October 2025).
2. **Predictions that can fail.** Wherever the sign of an effect depends on the environment, the model says on what, and the empirical work tests that condition rather than a one-sided sign.
3. **Daily horizon.** The data are daily, so the relevant arbitrageur carries positions overnight (arbitrage mutual funds, proprietary desks), not a one-second market maker.

2 Environment

2.1 Prices and the basis

A stock with spot price S_t has a single-stock future maturing at T. With benchmark rate r_b (e.g. MIBOR) and known dividends, the cost-of-carry value is $F_t^* = (S_t - \mathrm{PV}_t(D))\, e^{r_b(T-t)}$. The *basis* (mispricing) is

$$m_t \;=\; \ln F_t - \ln F_t^*, \tag{1}$$

measured in basis points of the spot price. Write s and f for the deviations of spot and futures prices from the fundamental value, so $m = f - s$ to first order.

2.2 Outside traders and market clearing

Outside (non-arbitrage) traders in each market have linear demand. In the cash market net demand is $D_S - \psi_S s$, in the futures market net long demand is $D_F - \psi_F f$; $\psi_S, \psi_F > 0$ measure liquidity (the depth of the outside side of each market) and D_S, D_F are demand shifters. An arbitrage sector holds a units of the cash-and-carry trade: long a shares and short a futures ($a < 0$ is reverse arbitrage). Both markets are in zero net supply after removing the fundamental holdings, so

$$D_S - \psi_S s + a = 0, \qquad\qquad D_F - \psi_F f - a = 0. \tag{2}$$

Subtracting, the basis satisfies

$$m = \frac{u - a}{\Phi}, \qquad \frac{1}{\Phi} \equiv \frac{1}{\psi_F} + \frac{1}{\psi_S}, \qquad u \equiv \Phi\Big(\frac{D_F}{\psi_F} - \frac{D_S}{\psi_S}\Big). \tag{3}$$

u is the *relative demand pressure* toward futures: positive when outside traders want long exposure in futures more than in cash (e.g. leveraged speculative longs), negative when they want

short exposure in futures (hedgers, informed pessimists who can short only through futures). Without arbitrage the basis is u/Φ; arbitrage lowers it by a/Φ (buying cash raises s, selling futures lowers f).

2.3 The arbitrage sector

Assumption 1 (Arbitrage)**.** The arbitrage sector is competitive and chooses a to maximise

$$\Pi(a) = a\,m - \tfrac{\gamma}{2}a^2 - c_+\,a^+ - c_-\,a^-, \qquad \gamma \equiv \alpha\sigma^2 > 0, \tag{4}$$

where $a^{\pm} = \max(\pm a, 0)$, α is risk aversion per unit of capital (inversely related to arbitrage capital), σ^2 the basis risk borne until convergence (margin calls, early unwinds), c_+ the cost of a cash-and-carry position and c_- the cost of a reverse position.

Holding a unit of cash-and-carry to expiry earns m (the basis converges to zero), less costs. Decomposing,

$$c_+ = \tau_+ + (r_A - r_b)(T-t), \qquad c_- = \tau_- + (\ell_s + r_b - r_L)(T-t), \tag{5}$$

with $\tau_\pm$ the round-trip transaction costs of each trade (STT, stamp duty, exchange fees, brokerage, impact), r_A the required return of cash-and-carry capital, ℓ_s the stock-lending fee and r_L the rebate on short proceeds. Section 11 maps each Indian limit to these parameters.

2.4 Indian limits as parameters

Limit	Indian institution (dated shocks)	Parameter
Trading costs	STT on futures (sell side): 0.01% from 1 Jun 2013; 0.0125% from 1 Apr 2023; 0.02% from 1 Oct 2024; 0.05% from 1 Apr 2026. Cash delivery STT 0.1% each side; 0.1% on physically settled derivatives	τ_+, τ_-
Short-sale cost	Naked shorting barred; only F&O-segment securities are eligible for short selling and SLB; SLB thin; the overnight short is the future	c_- via ℓ_s; $c_- = \infty$ for cash-only stocks
Arbitrage capital	Arbitrage-fund AUM (tax-advantaged since the 1 Apr 2023 debt-fund tax change); funding rates; peak-margin phase-in (Dec 2020–Sep 2021)	α (so γ), r_A
Arbitrage risk	Basis volatility, idiosyncratic volatility	σ^2 (so γ)
Position limits	Entity limits (10/20/30% of MWPL from 1 Oct 2025); MWPL; the F&O ban (95% entry, 80% exit)	caps on a; reduce-only rule (Sec. 5)
Market depth	Liquidity of outside traders in each market	ψ_S, ψ_F (so Φ)

3 The no-arbitrage band

Proposition 1 (Asymmetric band and passthrough)**.** *Under Assumption 1 and (3), the equilibrium is unique:*

$$m(u) = \begin{cases} \dfrac{\gamma u + c_+}{\gamma\Phi + 1}, & u > \Phi c_+, \\ \dfrac{u}{\Phi}, & -\Phi c_- \le u \le \Phi c_+, \\ \dfrac{\gamma u - c_-}{\gamma\Phi + 1}, & u < -\Phi c_-, \end{cases} \qquad a(u) = \begin{cases} \dfrac{u - \Phi c_+}{\gamma\Phi + 1}, & u > \Phi c_+, \\ 0, & \textit{inside}, \\ \dfrac{u + \Phi c_-}{\gamma\Phi + 1}, & u < -\Phi c_-. \end{cases} \tag{6}$$

The basis is left alone inside the band $[-c_-, c_+]$; outside it, arbitrage absorbs a share of each demand shock, so the passthrough falls from $1/\Phi$ to $\gamma/(\gamma\Phi + 1)$.

Proof. Π is strictly concave with kinks at 0. The best response is $a = (m - c_+)/\gamma$ if $m > c_+$, $a = (m + c_-)/\gamma$ if $m < -c_-$, and $a = 0$ otherwise. The map $a \mapsto \mathrm{BR}((u - a)/\Phi) - a$ is strictly decreasing, so the fixed point is unique. Substituting $m = (u - a)/\Phi$ into the interior best responses gives (6); e.g. for the upper branch $m\Phi = u - (m - c_+)/\gamma$, i.e. $m = (\gamma u + c_+)/(\gamma\Phi + 1)$, which equals c_+ at $u = \Phi c_+$ (continuity). □

Proposition 2 (Comparative statics)**.** *(i)* Costs set the edges. *The band edges are c_+ and $-c_-$; they do not depend on capital or risk. A change in transaction costs $\Delta\tau_\pm$ (e.g. an STT change) shifts the corresponding edge one-for-one.*

(ii) Capital and risk set the passthrough. *Outside the band, $\partial m/\partial u = \gamma/(\gamma\Phi + 1)$ rises with $\gamma = \alpha\sigma^2$: scarcer capital or riskier convergence lets the basis travel further beyond the edge.*

(iii) Maturity. *By (5) both edges are affine in remaining maturity $T - t$ and converge to the round-trip costs τ_+, $-\tau_-$ at expiry (for positions held to expiry).*

(iv) Location. *The band is centred at $(c_+ - c_-)/2$, below zero whenever shorting costs more than carrying ($c_- > c_+$). Its* upper *edge is itself negative when $(r_b - r_A)(T - t) > \tau_+$, i.e. when cash-and-carry capital accepts a return sufficiently below the benchmark rate.*

Proof. (i)–(iii) follow from (6) and (5). (iv): the centre is $(c_+ - c_-)/2$; the sign of c_+ follows from (5). □

Remark. Part (iv) matters because the Indian evidence shows a band centred below zero: Shankar, Sankar and Kiran Kumar (2015) estimate mean thresholds of −39 and −10 bp for 102 NSE stock futures (5-minute data, 2007–09), and the median basis is negative in Aggarwal (2015) and Nandan et al. (2014). The model reproduces this if reverse arbitrage is costly and cash-and-carry capital accepts a below-benchmark return. One candidate is the tax treatment of arbitrage funds, which are taxed as equity. If so, the inflows after the 1 April 2023 debt-fund tax change should have lowered r_A and with it the upper edge, which is a testable implication. It must be separated from the futures STT increase on the same date, which raises τ_+.

4 Inventory and the moving no-trade region

The ban acts on existing positions, so the model needs inventory. Time is discrete (days). The arbitrage sector enters day t with inventory $a_{t-1} \geq 0$ and pays proportional costs on changes: c_+ per unit added and c_u per unit unwound (selling cash, buying back futures). To keep the dynamic analysis transparent, reverse arbitrage is set aside ($a_t \geq 0$): the capacity of stock *holders* to sell cash and buy futures when futures are cheap is part of the cash-market depth ψ_S. Each day the sector chooses a_t to maximise

$$a_t m_t - \tfrac{\gamma}{2} a_t^2 - c_+(a_t - a_{t-1})^+ - c_u(a_{t-1} - a_t)^+. \tag{7}$$

Proposition 3 (Inventory-dependent no-trade region)**.** *Given a_{t-1}, the sector trades only when the basis leaves*

$$\big[\, \gamma a_{t-1} - c_u, \;\; \gamma a_{t-1} + c_+ \,\big]. \tag{8}$$

In equilibrium, with $m_t^0 \equiv (u_t - a_{t-1})/\Phi$:

(a) if $m_t^0 > \gamma a_{t-1} + c_+$ the sector adds: $m_t = (\gamma u_t + c_+)/(\gamma\Phi + 1)$;

(b) if $m_t^0 < \gamma a_{t-1} - c_u$ it unwinds: $a_t = \max\{0, (u_t + \Phi c_u)/(\gamma\Phi + 1)\}$ and $m_t = (u_t - a_t)/\Phi$;

(c) otherwise $a_t = a_{t-1}$ and $m_t = m_t^0$.

Proof. (7) is strictly concave with kinks at a_{t-1}. The marginal value of the position is $m_t - \gamma a_t$, so adding is optimal iff $m_t - \gamma a_{t-1} > c_+$ and unwinding iff $m_t - \gamma a_{t-1} < -c_u$; interior solutions are $a_t = (m_t - c_+)/\gamma$ and $a_t = (m_t + c_u)/\gamma$. Uniqueness and the closed forms follow as in Proposition 1, combining each branch with (3). □

Empirical content. Thresholds are not constants: they rise with arbitrage inventory. A large existing cash-and-carry book (proxied by open interest built while the basis was rich) raises both the level at which new arbitrage starts and the level at which unwinding starts. Threshold models should allow thresholds to depend on lagged OI.

5 The F&O ban as a reduce-only rule

5.1 The rule

Once market-wide open interest in a stock's derivatives exceeds 95% of its MWPL at the end of a day, the stock enters the ban from the next day. Every entity may then only trade to reduce its position (from 1 October 2025, its end-of-day futures-equivalent delta); a change of sign counts as a violation. Normal trading resumes when open interest falls to 80% of MWPL (NSE Clearing circular 119/2025). The rule covers all expiries and options; rolling a position into the next expiry is not permitted. It binds outside traders as much as arbitrageurs.

Assumption 2 (Ban)**.** During a ban:

(B1) *Reduce-only arbitrage:* $0 \leq a_t \leq a_{t-1}$.

(B2) *Blocked new exposure:* outside traders' demand shocks have two parts, $\Delta u_t = \varepsilon_t^n + \varepsilon_t^c$ in normal times. Closing demand ε_t^c (long liquidation, short covering) can still be executed and enters as usual. Demand for *new* futures exposure ε_t^n cannot; a share $\chi \in [0,1]$ of it moves to the cash market and the rest is withdrawn. In the units of (3) the ban maps ε_t^n into $-\lambda\varepsilon_t^n$, with $\lambda \equiv \chi\,\psi_F/\psi_S \geq 0$.

(B2) follows from (3): new long demand $\Delta D_F = \varepsilon$ raises u by $\Phi\varepsilon/\psi_F$ if it enters futures, but lowers u by $\Phi\chi\varepsilon/\psi_S$ if a share χ of it buys cash instead. A leveraged retail trader who cannot buy the future and buys the stock on margin is the leading case.

Lemma 1. *For the same u_t and a_{t-1}, the basis in a ban is at least as high as in normal times.*

Proof. (B1) removes only the option to add, which is used only when it lowers m (branch (a) of Proposition 3); branches (b)–(c) are unchanged. □

Proposition 4 (One-sided correction)**.** *Let a ban start with inventory $a_{t-1} > 0$.*

(i) No ceiling. *For $u_t \geq a_{t-1}(1+\gamma\Phi) - \Phi c_u$ the basis is $m_t = (u_t - a_{t-1})/\Phi$: every increase in pressure passes through fully ($\partial m/\partial u = 1/\Phi$ instead of $\gamma/(\gamma\Phi+1)$ beyond the normal upper edge). Rich futures are not corrected.*

(ii) A floor while inventory lasts. *For lower u_t the sector unwinds and $m_t = \gamma a_t - c_u$, so cheap futures are still corrected, at a level that* rises *with the remaining inventory.*

(iii) The floor wears out. *Once $a_t = 0$ the floor disappears and $m_t = u_t/\Phi$. Because positions cannot be rolled, an expiry inside a ban removes the expiring part of the inventory for the rest of the ban.*

Proof. Apply Proposition 3 with branch (a) deleted by (B1). Branch (c) holds while $m_t^0 \geq \gamma a_{t-1} - c_u$, i.e. $u_t \geq a_{t-1}(1+\gamma\Phi) - \Phi c_u$, giving (i). In branch (b), $a_t = (m_t + c_u)/\gamma$ when interior, so $m_t = \gamma a_t - c_u$, giving (ii). If $(u_t + \Phi c_u) \leq 0$ then $a_t = 0$ and $m_t = u_t/\Phi$, giving (iii). Expiry: delivered positions close and cannot be re-opened in the next expiry under the ban. □

Proposition 5 (Sign reversal of new-exposure demand)**.** *In normal times a shock to demand for new futures exposure moves the basis in its own direction: $\partial m_t/\partial\varepsilon_t^n = 1/\Phi$ inside the no-trade region and $\gamma/(\gamma\Phi+1)$ beyond its upper edge. In a ban the same shock moves it the other way: $\partial m_t/\partial\varepsilon_t^n = -\lambda/\Phi$ inside the no-trade region and $-\lambda\gamma/(\gamma\Phi+1)$ on the unwinding floor. The reversal is strict iff $\chi > 0$.*

Proof. Chain rule on Propositions 3–4, with $\partial u/\partial\varepsilon^n = 1$ in normal times and $-\lambda$ in a ban by (B2). □

Proposition 6 (The level effect is ambiguous)**.** *Fix a_{t-1}, the pre-shock pressure u^0 and closing demand ε^c, and compare the same new-exposure shock $\varepsilon^n \geq 0$ with and without a ban: $m^N = m(u^0 + \varepsilon^c + \varepsilon^n)$ and $m^B = m^{ban}(u^0 + \varepsilon^c - \lambda\varepsilon^n)$. Then:*

(i) $m^B - m^N$ is non-increasing in ε^n;

(ii) at $\varepsilon^n = 0$, $m^B - m^N \geq 0$, strictly if closing pressure would have triggered new arbitrage in normal times;

(iii) $m^B - m^N < 0$ *for* ε^n *large enough.*

The ban raises *the basis when pressure comes mainly from closing trades (e.g. short covering) and* lowers *it when new speculative demand keeps arriving; the observable sign condition is the composition of order flow during the ban.*

Proof. m^N is non-decreasing in ε^n; m^B is non-increasing in ε^n because u^B falls in ε^n and m^{ban} is non-decreasing in u. Hence (i). (ii) is Lemma 1. (iii): m^N rises without bound (slope at least $\gamma/(\gamma\Phi + 1) > 0$) while m^B is non-increasing. □

Proposition 7 (Trading and measurement in a ban)**.** *(i) If the reduce-only rule binds contract by contract, every futures trade in a ban closes a long and a short, so* $\Delta OI_t = -V_t$ *(volume) outside expiry days. Trades that offset across instruments (e.g. delta-reducing option trades allowed from 1 October 2025) break the identity; the gap measures such offsetting.*

(ii) Trading requires that some long and some short both want to reduce at the same price, so futures volume falls and quoted spreads widen relative to normal days.

(iii) On days without trades in the last half hour, NSE sets the futures settlement price at a theoretical cost-of-carry value. The settlement-price basis is then zero by construction (up to differences between NSE's rate and r_b*).*

Proof. (i) A buyer may only reduce a short and a seller only reduce a long, so each trade lowers OI by its size. (ii) follows from the restriction of the trading set. (iii) is the NSE settlement rule. □

Remark. Part (iii) is a trap for the empirics. Bans thin out trading, so a naive basis built from settlement prices would show the basis "closing" during bans for purely mechanical reasons. The data work must use trade-based prices and flag theoretical settlements.

6 Anticipation and hysteresis

Assumption 3 (Exit in a ban is costlier)**.** If a ban occurs before a position is closed, unwinding costs $c_u + \ell$ with $\ell > 0$, because the counterparties are only traders who also want to reduce (Prop. 7(ii)). The probability that a position opened when utilisation is $\omega = OI/MWPL$ meets a ban before it is closed is $\pi(\omega)$, continuous and increasing.

Proposition 8 (Anticipation)**.** *Outside a ban the effective cost of opening cash-and-carry is* $c_+ + \pi(\omega)\ell$*. The upper edge of the no-trade region rises smoothly as utilisation approaches 95%, and new arbitrage slows before any ban. The jump at* $\omega = 0.95$ *consists only of the reduce-only effects of Section 5; anticipation is continuous through the threshold.*

Proof. The expected cost of a unit opened at ω is $c_+ + \pi(\omega)\ell$ (exit at a later date is costlier with probability π); substitute for c_+ in Proposition 3. Continuity of π gives continuity at 0.95. □

Remark (What the density of utilisation should look like)*.* Arbitrageurs hold back as ω rises, which thins the density just below 95%; speculators who expect a ban may rush to open positions first, which does the opposite. The model therefore does not sign a McCrary test; the test tells us which force dominates.

Corollary 1 (Hysteresis)**.** *For $\omega \in [0.80, 0.95)$ a stock may be in a ban (it crossed 95% earlier) or not. At the same ω the first is governed by Section 5, the second by Proposition 8. Their difference is the effect of the reduce-only state relative to the anticipation state, which is the effect the 95/80 rule creates.*

7 What the model implies for identification

Proposition 9 (MWPL is not a clean instrument for ban status)**.** *The basis depends on the MWPL through three channels: the ban state $B_t = B(\omega_t, B_{t-1})$, the anticipation term $\pi(\omega_t)$, and entity limits proportional to the MWPL when they bind. A change in the MWPL therefore moves the basis even in periods with no ban, so it violates the exclusion restriction for an instrument of B_t. Denominator variation identifies the* total *effect of the position-limit regime (ban plus anticipation plus caps), not the effect of the ban alone.*

Proof. $\omega = OI/MWPL$ enters $\pi(\omega)$ (Prop. 8) independently of B. □

What each design identifies under the model:

1. *RD at 95%*: the local jump in the reduce-only effects, provided utilisation cannot be placed precisely on one side.
2. *Hysteresis comparison* (Cor. 1): the reduce-only state against the anticipation state at equal ω; selection on past paths must be controlled (lagged utilisation, lagged basis).
3. *Ban-entry event study with near-miss controls*: Props. 4–7 dynamically, against stocks with similar paths that stayed below 95%.
4. *1 October 2025 reform and quarterly MWPL recalculations*: reduced-form effects of predicted changes in utilisation (new formula; FutEq numerator) on the basis. These are total-regime effects (Prop. 9).

8 Short-sale constraints beyond the basis

8.1 Earnings news in a ban

Proposition 10 (Bad news is incorporated more slowly in a ban)**.** *Let an announcement reveal news $\pm\delta$, and let trading on the day impound a share k of it. For bad news, a share ρ of informed selling capacity runs through short futures, the only overnight short in an F&O stock. In a ban that capacity is unavailable, so the share impounded falls to $k(1-\rho)$ and the post-announcement drift after bad news rises from $(1-k)\delta$ to $(1-k+k\rho)\delta$. Good news is unaffected because optimists can buy cash.*

Proof. Immediate from the definitions; the asymmetry comes from the fact that the cash market allows buying but not overnight selling by non-holders. □

Remark. Outside a ban the same mechanism predicts that informed pessimists push the futures price *below* carry before bad news, since their short futures cannot be met by reverse arbitrage. A recent working paper (Saurav, Srivastava and Agarwalla, 2026) reports a negative basis before

earnings announcements in Indian stock futures. The model adds that this pre-announcement signal should *vanish* for stocks in a ban, while drift after bad news should grow.

8.2 Cash-only stocks and F&O inclusion

Stocks outside the F&O segment have no single-stock futures and are not eligible for short selling or SLB under SEBI's framework, so c_- is effectively infinite for overnight positions. A Miller (1977) mechanism then applies.

Proposition 11 (Overpricing without a short channel)**.** *A continuum of investors has valuations $v_i \sim U[v-\delta, v+\delta]$ and demands $k(v_i - p)$ if long; shorting costs c_s per unit, so investors with $v_i < p - c_s$ short $k(v_i - p + c_s)$. Supply is $Q > 0$.*

(i) The price $p(c_s)$ is non-decreasing in c_s.

(ii) With free shorting $p = v - Q/k$. With no shorting and $\delta \geq Q/k$, $p = v + \delta - 2\sqrt{\delta Q/k}$, so the overpricing is $\left(\sqrt{\delta} - \sqrt{Q/k}\right)^2$, increasing in dispersion δ.

Proof. (i) Aggregate demand falls in p and rises in c_s (short positions shrink), so the market-clearing price rises in c_s. (ii) Free shorting: $\int k(v_i - p)\, di = k(v-p) = Q$. No shorting: $\frac{k}{2\delta}\int_p^{v+\delta}(x-p)\,dx = \frac{k(v+\delta-p)^2}{4\delta} = Q$, valid when $p \geq v - \delta$, i.e. $\delta \geq Q/k$. Subtract; the derivative in δ is $1 - \sqrt{Q/(k\delta)} > 0$. □

Empirical content. F&O inclusion lowers c_s (futures, options, short-selling and SLB eligibility arrive together). It should lower prices of high-dispersion stocks at inclusion and reduce their subsequent underperformance; exclusion should do the reverse. Diamond and Verrecchia (1987) imply that, even without a level bias, short constraints slow the incorporation of bad news, which points in the same direction as Proposition 10.

9 Heterogeneous arbitrageurs and the estimation lens

With a single cost c_+ the band has sharp edges and, under impulse-style correction, the outer regimes would almost never be observed. Let costs differ across arbitrageurs, $c \sim G$ on $[\underline{c}, \bar{c}]$, each with the objective (4). Aggregate arbitrage is $a(m) = \int (m-c)^+\, dG(c)/\gamma$, which is continuous and convex in m above $\underline{c}$, so the strength of correction rises smoothly with the size of the deviation. In discrete time, with capital moving to opportunities only gradually, the basis follows an error-correction process whose speed of adjustment is a smooth, increasing function of $|m_{t-1} - \text{centre}|$. This is the exponential or logistic smooth-transition model (Tse, 2001). It is also well approximated by a three-regime threshold model whose thresholds are quantiles of G (Dwyer, Locke and Yu, 1996; Ters and Urban, 2020). Proposition 3 adds that the thresholds move with inventory, and Proposition 4 that in a ban the upper regime's adjustment speed falls toward zero while the lower regime's remains. A band-of-inaction (impulse-control) derivation gives the same reading for a single arbitrageur: the threshold is the point at which correcting the deviation becomes worth its cost.

10 Calibration and horizon

For an overnight carrier, the round-trip cost of a cash-and-carry trade includes STT on the cash purchase and sale (0.1% each), STT on the futures sale (0.01–0.05% depending on the period) or 0.1% on physical delivery, stamp duty, exchange and clearing fees, brokerage and impact. That is tens of basis points, far wider than the bands of a few basis points estimated from one-second data (Aggarwal, 2015), which describe intraday market makers. Arbitrage funds that roll rather than deliver spread these costs over several expiries, which lowers the effective τ_+ per month. The empirical work will compute a bottom-up cost band for each period; the simulations here use round illustrative numbers ($c_+ = 15$, $c_u = 10$, $c_- = 60$ bp) and are not estimates.

11 From propositions to hypotheses

H	Source	Prediction	What would contradict it
H1	Props. 1–3	Mispricing size and persistence rise with ex-ante frictions	No relation between friction index and band/persistence
H2	Props. 10, 11	Drift after bad news larger without a short channel (cash-only stocks; ban days); good news unaffected	Symmetric drift response, or larger effect for good news
H3	Prop. 2(i),(iii)	Edges move one-for-one with cost changes (STT 2023, 2024, 2026); edges shrink toward expiry; estimated band close to cost band	Band unrelated to dated cost changes
H4	Prop. 2(ii),(iv)	Scarcer capital widens excursions beyond the edges; tax-advantaged inflows lower the upper edge	Basis level unaffected by arbitrage-fund flows (after separating the 1 Apr 2023 STT change)
H5	Prop. 11	Overpricing-side anomalies stronger where shorting is costly; underpricing side unaffected	Symmetric effect on both legs
H6	Prop. 11	F&O inclusion lowers overpricing, more for high-dispersion stocks; exclusion raises it	No change, or opposite sign
H7	Prop. 4	In a ban, positive deviations stop reverting; negative ones still revert while inventory lasts, less after an expiry in the ban	Symmetric change, or no change
H8	Props. 5, 7	In a ban, futures volume falls, $\Delta OI \approx -V$, cash activity rises; response of the basis to new-demand shocks flips sign	Futures activity unchanged; no sign flip
H9	Props. 8, 9, Cor. 1	Upper edge rises smoothly as utilisation nears 95%; the 1 Oct 2025 package acts through predicted utilisation, with sign set per stock	Jump only at 95% with no pre-trend; no effect of predicted utilisation

The level effect of the ban (Prop. 6) is deliberately *not* a one-sided hypothesis: the test is whether

its sign follows the composition of order flow (closing versus new demand) as the model says.

12 Limitations

1. Partial equilibrium with linear outside demand and a myopic, mean–variance arbitrage sector; dynamic hedging and the option to unwind early (Brennan and Schwartz, 1990) enter only through the inventory structure.
2. The split of outside demand into closing and new-exposure parts (B2) is the modelling choice that drives Props. 5–6. Its empirical counterpart (order flow that opens versus closes positions) is only partly observable from public data (changes in OI against volume).
3. Reverse arbitrage by stock holders is folded into cash-market depth, not modelled as a separate agent.
4. Anticipation rests on Assumption 3 (costlier exit in a ban), which is itself testable (Prop. 7(ii)).
5. Propositions 10–11 are deliberately simple; they fix directions, not magnitudes.

A Numerical verification and illustration

A Python script solves each equilibrium by brute force (bisection on the best-response fixed point) and compares it with the closed forms. All checks pass: the static band (Prop. 1), the inventory step in normal times and in a ban (Props. 3–4), the floor $\gamma a_t - c_u$ and the full passthrough above it, Lemma 1, the monotonicity and sign change in Proposition 6, and the Miller closed forms (Prop. 11).

The simulation uses illustrative parameters ($\Phi = \gamma = 1$; $c_+ = 15$, $c_u = 10$ bp; demand pressure AR(1) with persistence 0.9 around 25 bp; daily shock s.d. 6 bp for each component; $\lambda = 0.5$). Each experiment runs the same shocks with and without a 40-day ban.

- *Asymmetric reversion* (300 episodes): the slope of Δm_t on m_{t-1} above the 80th percentile weakens from -0.18 (no ban) to -0.13 (ban); below the 20th percentile it strengthens from -0.12 to -0.16.
- *Level effect*: with no extra new-exposure demand during the ban the mean basis is $+4.9$ bp higher; with a steady inflow of 1, 2 and 4 bp/day of new demand it is -3.1, -10.8 and -26.0 bp lower (Prop. 6).

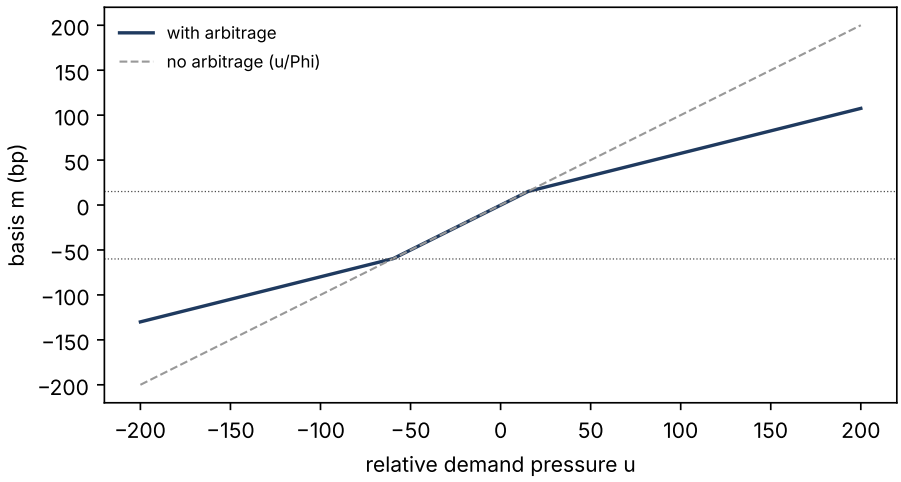


Figure 1: Static equilibrium (Prop. 1): the basis follows demand pressure one-for-one inside the band and is compressed outside it. Dotted lines: edges c_+ and $-c_-$.

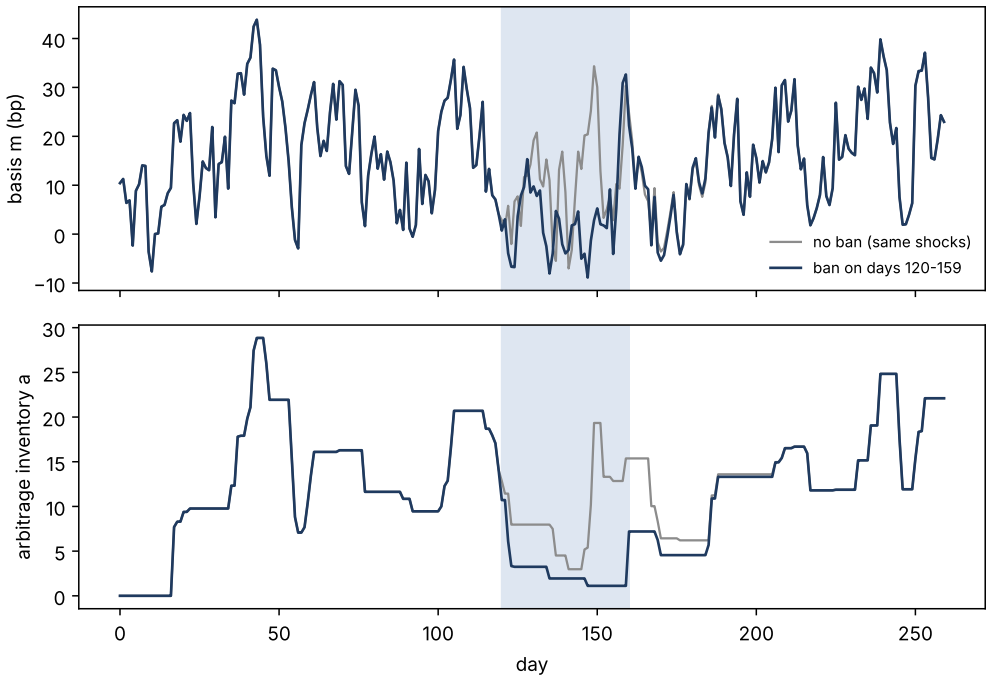


Figure 2: One simulated path, same shocks with and without a ban on days 120–159. In the ban, inventory can only fall and upward pressure passes through fully.

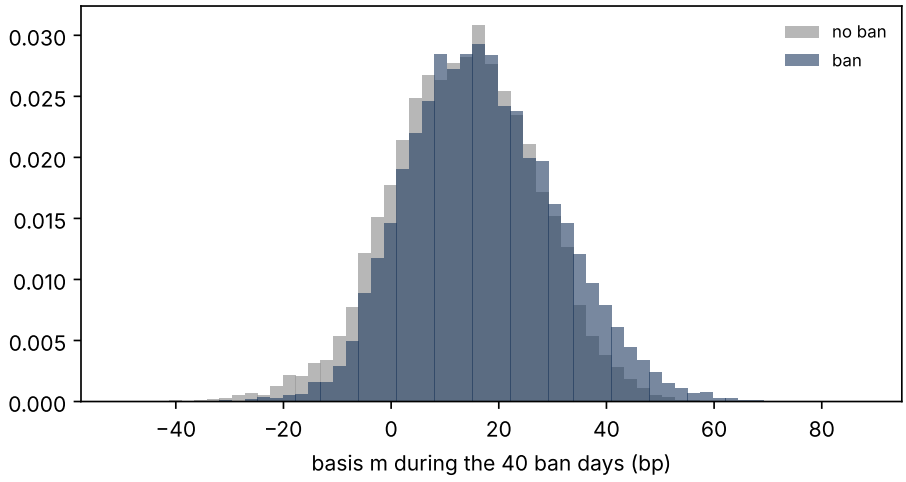


Figure 3: Distribution of the basis over the 40 ban days, pooled across 300 paired simulations.

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